A STUDY OF PASSENGER SATISFACTION FACTOR ON AIRLINE PERFORMANCE AND COMPREHENSIVE ANALYSIS

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ABSTRACT

Customer satisfaction is a crucial factor in creating metrics for satisfaction of customer and implementing business procedures that connect quality with the satisfaction of customer. Recently, there has been a significant rise in the focus on defining, evaluating, and enhancing the satisfaction of a customer to address the competitive pressures across industries. This research aims to assess passenger levels of satisfaction and evaluate the quality of services offered by airline companies, as well as identify key factors influencing customer satisfaction.

This study examines factors influencing airline satisfaction through the development of marketing strategies that involve identifying problems and opportunities within the airline industry. The process involves evaluating past work actions, comparing past performance with the airline industry's objectives, and focusing on developing future ideas to enhance QoS (Quality of Service). This is achieved by investigating customer satisfaction across various market segments identified through surveys, considering the multi-step nature of the airline choice process.

The gathered data is filtered to remove any unnecessary information. The data is subsequently categorized based on various variables utilized for measurement. Various methods can be employed to analyze data. This survey assists airlines in identifying the key factors that significantly influence customer satisfaction. Airlines must glean insights from their experiences in order to achieve profitability and maintain positive customer relationships.

KEYWORDS: Service Quality, Customer satisfaction, Competitive challenge, India low-cost airline, Service dimensions, In-flight services, Class of Journey, Airline Industry.

INTRODUCTION

Air travel is considered a service industry that is intangible. Aviation is crucial for a nation's economic development as it serves as a vital connection for international travel, trade, and domestic connectivity. It is a crucial component of the country's infrastructure with significant impacts on tourism and trade development, accessibility to remote areas, and stimulation of business activity and economic growth. In the present day, the competition among businesses in the airline industry has become very intense. This has resulted in many challenges for the airline industry. Currently, companies must invest significant resources in promoting and enhancing activities to attract more clients. Airline companies must provide top-notch services to attract new customers, as aviation services are now easily accessible to the general public from their local airports. Providing higher-quality services to passengers is crucial for the profitability of airlines and long-term growth in a competitive environment. In the last ten years, due to the increasingly difficult air transportation market, numerous airlines have shifted their attention to improving airline quality of service to enhance the satisfaction of customers. QoS conditions impact a company's competitive advantage by maintaining customer loyalty, which in turn leads to market share. For airlines to survive, it is crucial to provide top-notch service to passengers by understanding their service expectations. QoS is the consumer's total perception of the organization's effectiveness and their services. Accurately comprehending customers' expectations is the key step in establishing and giving a top-notch service.

To address this competitive challenge, the aviation industry has made customer satisfaction its main objective to thrive in the competitive market. Successful competitors in the modern worldwide economy understand that evaluating the satisfaction of customers and comprehending the requirements along with the satisfaction of potential customers is crucial for customer retention. They can retain customers and improve customer acquisition by following this approach. The competitors will understand that satisfaction with customer data from a survey is an essential strategic tool that can help increase profits and market share by effectively using resources based on customer perception and expectations.

LITERATURE AND RESEARCH REVIEWS

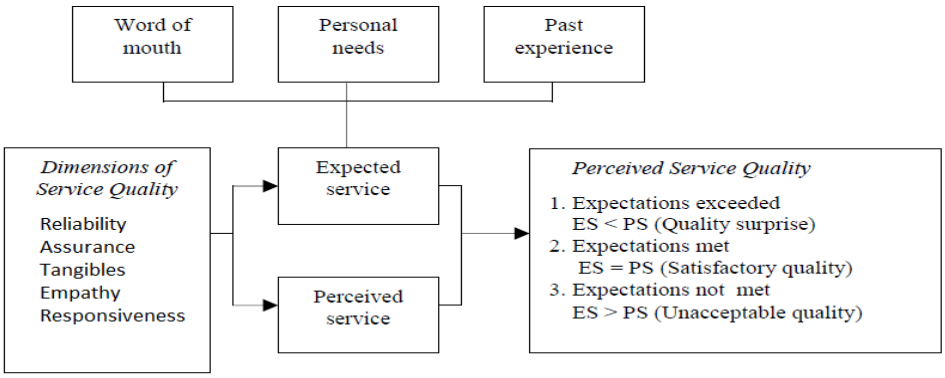
Service Quality

This perspective states that quality begins with understanding and meeting customer needs and ends with how customers perceive the service. The perception of quality has been impacted not only by the service provider but also by the customer's viewpoint. In the end, what the customer thinks defines what constitutes good quality. A thorough evaluation of the service's utility is part of the customer's perception of its quality. The advantages of establishing and upholding service quality outweigh the expenses incurred due to achieving it or as an outcome of lower quality. High-quality service is a strategic asset for gaining a competitive edge in the market. Benefits of Quality Customer Service for an Enhanced Customer Experience Beyond the realm of resolving issues, it forms a bridge that connects brands with the hearts and minds of their

customers. This bridge, fortified by attentive interactions and personalized support, leads to a realm of remarkable benefits that extend far beyond mere transactions. Such as (1) Elevated Customer Satisfaction and Loyalty, (2) Amplified Word of Mouth and Referrals, (3) Fostering a Positive Emotional Connection, (4) Enhanced Customer Lifetime Value, (5) Efficient Issue Resolution and Customer Retention, and (6) Positive Brand Perception and Reputation. These benefits suggest that every company shpuld recognize the strategic significance of quality. Continuous quality enhancements are an investment that leads to increased profits, not a cost.

Service quality is primarily influenced by two main factors: the expected service customers anticipate and the perceived services received. Figure 1 below illustrates these concepts. Customer satisfaction for a service can be determined by comparing service perceptions with service expectations. Service quality directly influences customer loyalty. Customer satisfaction is crucial as dissatisfied customers may switch to competitors, leading to reduced sales and lower corporate profits. The research results indicated that the regression coefficient of the interaction between QoS and satisfaction of customers in the park services, services of airlines, and services of long-distance telecommunications had a major impact on purchasing interest.

Researchers conducted a study to investigate the impact of customer satisfaction, repurchase interest, and service quality. They developed an evaluation model which focuses on the connection among the perceptions of service quality, customer satisfaction, and intent of a purchase. Research findings indicate that satisfaction of customer which acts as an intervening variable in the association among satisfaction of customer and service quality. Service quality satisfaction influences interest in purchasing.



Perceived service quality model, Source : Fitzsimmons & Fitzsimmons (2001).

Figure 1: Perceived service quality model

Passenger Satisfaction

The IATA (International Air Transport Association) predicts that the total number of travelers will attain the 4.0 billion in 2024, exceeding the levels before the COVID-19 pandemic (103% of the 2019 total) by considering multi-sector connecting trips as one passenger. In 2021, the

total number of travelers was 47% of the level seen in 2019. The percentage is projected to increase to 83% in 2022, 94% in 2023, 103% in 2024, and 111% in 2025. This return to normal happens amidst robust market expansion and heightened competitiveness. Airlines must meet passengers' increasing expectations at every touch point—pre-, in-, and post-flight—to secure long-term customer satisfaction and loyalty. Passenger satisfaction or dissatisfaction arises from how they assess the gap between what they expected from a service and how it performed. Positive disconfirmation happens when passengers perceive that the level of service they received exceeded their expectations, resulting in a feeling of satisfaction; confirmation happens when passengers perceive the level of service to be neutral; and negative disconfirmation happens when passengers perceive the level of service to be lower than expected, resulting in dissatisfaction. Although satisfaction and quality have different meanings, they are frequently used interchangeably. Generally speaking, the concept of satisfaction is thought to be more expansive than that of service quality assessment, which focuses exclusively on the service dimension. The assessment, which takes into account the passenger's perception of the 5 distinct dimensions of service, is centered on quality of service. Conversely, satisfaction is a broader concept; it takes into account factors such as price, situational variables, personal factors, and the perception of product as well as service quality.

Passengers often rely on price as an indicator of service quality, especially when the quality is challenging to gauge beforehand. This tendency stems from the inherent risk associated with services compared to tangible goods. Consequently, passengers often associate higher prices with better quality. Additionally, various environmental and situational factors influence passengers' satisfaction levels with the services they receive. These factors, such as prevailing conditions and circumstances, shape passengers' expectations and perceptions of the goods or services they consume. Similarly, personal factors, including emotional states, also play a crucial role in shaping consumer experiences.

RESEARCH METHODOLOGY

Data Collection: This research utilizes both primary along with secondary data. Data has been gathered directly by the use of a questionnaire. The study includes 164 participants and was carried out at the Chennai International Airport Terminal in Tamil Nadu during March-April 2024. Sampling involves interviewing passengers selected at random, at various times throughout each day of the week, spanning a period of three weeks. Data was collected using a structured questionnaire. The questionnaire assessed different aspects of service quality provided by airlines in India. Customer satisfaction in this study is based on customers' post-service experience. A higher rating on a five-point scale is considered an indicator of customer satisfaction. They rated their opinion on a 5-point Likert scale from strongly satisfied (5) to strongly dissatisfied (1). Researchers identified the airline industry representatives to help with selecting samples and collecting data. An Exploratory Factor Analysis has been conducted to measure airline service quality and identify its dimensions. Factor analysis is a set of procedures mainly utilized for reducing and summarizing data.

The airline passenger satisfaction dataset contains 19 features including passenger ID, Name

of passenger, Airlines, Date of travel, Age, Gender, Travel Class, Flight Frequency, Check-in process, Onboard service, comfort of seat, Cleanliness, Legroom, cabin Environment, Food and drink service, In-flight Entertainment, Baggage Handling, Airline Preference, Overall satisfaction. The dataset contains 225 data items, all of which have complete values. Passenger service ratings range from 0 to 5.

Survey Programming Tool for the Study

The survey is being conducted online through a questionnaire created with Google Forms. This application facilitates the conversion of a traditional pen-and-paper personal interview (PAPI) into a digital format through computer-assisted interviewing.

RESEARCH FINDINGS

The study employs various statistical approaches to analyze the data. Factor analysis using the principal component approach was conducted to find out the primary factors influencing the satisfaction of customers regarding service parameters in the airline industry. The respondents' perception of these determinants is analyzed using mean and SD. The connection between customer profile as well as perception is analyzed using a chi-square test to assess the strength of association based on the chi-square value, contingency coefficient, and lambda value.

Demographic Profile of the sample population

Statistics

		Age:"	Gender:	Travel Class
N	Valid	225	225	225
	Missing	0	0	0

Frequency Table

Age:"

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	18 - 29	56	24.9	24.9	24.9
	30 - 39	57	25.3	25.3	50.2
	40 - 49	72	32.0	32.0	82.2
	50 - 80	40	17.8	17.8	100.0
	Total	225	100.0	100.0	

Gender:

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Female	108	48.0	48.0	48.0
	Male	117	52.0	52.0	100.0
	Total	225	100.0	100.0	

Travel Class		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Business	89	39.6	39.6	39.6
	Economy	116	51.6	51.6	91.1
	First Class	20	8.9	8.9	100.0
	Total	225	100.0	100.0	

Most respondents, 32%, are young adults aged between 40 and 49. 51.6% of respondents are classified as Economy Class Travelers. There may have been bias in the sample selection process.

Customer satisfaction with determinants of service

Customer satisfaction with service is assessed as an overall experience and quantified using mean values on a five-point scale. The below Table presents these values.

Customer Perception of Airlines

Factors	Mean	Standard Deviation
Check-in Process:	3.76	.974
On-board Service:	3.74	.967
Seat Comfort:	4.01	.861
Seat Comfort:	3.88	.930
Legroom	3.69	.935
Food and Drink Service	3.72	.930
Cabin Environment	4.01	.901
In-flight Entertainment	3.92	.956
Baggage Handling:	3.99	.933

Preferred airline from the following Airlines

		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Air India	67	29.8	29.8	29.8
	AirAsia	10	4.4	4.4	34.2
	Go First	21	9.3	9.3	43.6
	IndiGo	48	21.3	21.3	64.9
	SpiceJet	15	6.7	6.7	71.6
	Vistara	64	28.4	28.4	100.0
	Total	225	100.0	100.0	

Approximately 29.8% of respondents ranked Air India highly compared to other airlines listed. Customers were also requested to express their views on crucial criteria when selecting a specific airline.

PASSENGERS WILLINGNESS TOWARDS CLASS OF JOURNEY

Airlines

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Figure 4 clearly shows that out of the 225 respondents sampled, 116 prioritize flying in economy class. 29.8% of respondents are interested in traveling with Air India, while 28.4% and 21.3% are interested in flying with Vistara and Indigo, respectively. Totally 116 respondents preferred to travel in Economy class and Only 20 respondents were interested to fly in First class.

HYPOTHESIS:

H0 - There is a satisfaction of passengers on service quality of different airline

H1 - There is no satisfaction of passengers on service quality of different airlines

Chi-Square Tests

	Value	df	Asymptotic Significance (2-sided)
Pearson Chi-Square	31.651[a]	20	.047
Likelihood Ratio	30.650	20	.060
Linear-by-Linear Association	.203	1	.652
N of Valid Cases	225		

a. 20 cells (66.7%) have expected count of less than 5. The minimum expected count is .04.

Correlations

		Airlines	Overall Satisfaction:
Airlines	Pearson Correlation	1	-.030
	Sig. (2-tailed)		.653
	N	225	225
Overall Satisfaction:	Pearson Correlation	-.030	1
	Sig. (2-tailed)	.653	
	N	225	225

INTERPRETATION: There is a positive correlation between Airline and Overall Satisfaction of passengers on service quality of different airline

CONCLUSION

The research has found that the primary factor in choosing a specific airline is the in-flight amenities. Airlines aim to offer air travel services, but due to the increasing number of competitors in the industry, they might encounter both new business prospects and intense competitive challenges. The study highlights the significant and positive influence of airline service in various dimensions on both airline image and passenger satisfaction. Passengers will express satisfaction with the services provided and the total facilities which have been delivered by the airline companies, particularly in areas such as in-flight service, Cabin Environment, and back-office operations. Among the journey options of various classes, Air India Airlines receives notably high ratings from passengers. Furthermore, the demographic profile analysis reveals that passengers tend to utilize flights more frequently. The study suggests that not providing high-quality services to passengers can harm an airline's reputation and affect passengers' intentions. Therefore, it highlights the need for airline companies to employ different delivery strategies to enhance in-flight service quality. The significance of in-flight service quality in determining the satisfaction of passengers underscores the need for customized strategies to address the varied needs and expectations of passengers.

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